# Vaigai Auto Components Pvt Ltd

## Standard Operating Procedure: Vendor Master Maintenance (SOP-FIN-012)

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|---|---|
| Version | 3.0 |
| Approved by | Chief Financial Officer - V. Shankar |
| Approval date | 02-Jun-2026 |
| Next review due | 01-Jun-2027 |
| Process owner | Finance Controller - K. Lakshmi |
| Prepared by | R. Karthik, MDM Lead |

A2-1 A2-2 A3-2

## 1. Purpose

To ensure that vendor master data in SAP S/4HANA, including bank details, is created and changed only on valid, verified requests.

## 2. Scope

All domestic and import vendors in company code 1000 (Hosur plant and Chennai corporate office).

## 3. Roles

| Role | Responsibility |
|---|---|
| MDM Executive | Receives requests, prepares VCRF, checks documents, updates SAP |
| MDM Lead | Supervises MDM team; extracts weekly change report |
| Finance Controller | Reviews weekly change report and signs off |
| Accounts Payable | Processes invoices and payment runs (Tuesday and Friday) |

## 4. Vendor creation

New vendors are created on an approved Vendor Onboarding Form with PAN, GSTIN, cancelled cheque and authorised contact details. The authorised contact number captured at onboarding is maintained in the vendor master (communication tab).

## 5. Change in vendor bank details

**5.1** The vendor shall submit a request on its letterhead, signed by an authorised signatory, with a cancelled cheque of the new account.

**5.2** The MDM Executive shall prepare a Vendor Change Request Form (VCRF) and attach the request letter and cancelled cheque.

**5.3** Document check: the MDM Executive shall check that the request letter and cancelled cheque are attached to the VCRF and record the check on the VCRF. A4-1

**5.4** After the document check, the MDM Executive shall update the bank details in SAP (transaction XK02) and file the VCRF in the document management system. A7-5

## 6. Weekly review

Every Monday, the MDM Lead shall extract the change report for sensitive vendor fields for the previous week (Monday to Sunday) from SAP to Excel and email it to the Finance Controller. The Finance Controller shall verify each bank-detail change against the VCRF and sign off the report. A5-1 A8-3

## 7. Exceptions

Discrepancies identified during the weekly review shall be reported to the Finance Controller for necessary action. A9-1

## 8. Records

VCRFs and signed review reports shall be retained for eight years. A10-3

# Annotation summary - NFS-01

Workpaper WP-P2P-04-TOD. Colour = attribute result: green Pass, red Deficiency, amber Partial.

| Ref | Attribute | Result | Location | Annotation |
|---|---|---|---|---|
| A2-1 | A2 Policy governance | Pass | Page 1 | SOP v3.0 approved by CFO on 02-Jun-2026. |
| A2-2 | A2 Policy governance | Pass | Page 1 | Within review cycle at walkthrough date (14-Oct-2026). |
| A3-2 | A3 Ownership and authority | Pass | Page 1 | SOP names the same process owner; consistent with RCM. |
| A4-1 | A4 Precision and criteria | Deficiency | Page 1 | SOP requires only that the documents are present. No criteria to match cheque account name to vendor, signatory to onboarding records, or sender email to vendor master. |
| A5-1 | A5 Frequency and timing | Deficiency | Page 1 | Only independent check on bank changes is weekly and after the change is live. |
| A7-5 | A7 Segregation of duties | Deficiency | Page 1 | SOP assigns verification and execution to the same role. |
| A8-3 | A8 Information used (IPE) | Deficiency | Page 1 | SOP lets the reviewed team produce the review population. |
| A9-1 | A9 Exceptions and escalation | Partial | Page 1 | Escalation route defined, but no timeline, payment hold or escalation beyond Finance Controller. |
| A10-3 | A10 Evidence of performance | Pass | Page 2 | Retention period defined. |